



ITC's FMCG business includes branded packaged foods, personal care, education and stationery, and matches and *agarbattis*



Among the big contributing brands are Aashirvaad at ₹5,000 crore, Sunfeast at ₹3,000 crore and Yippee and Bingo at ₹1,000 crore each



Its strategy includes having a future-ready portfolio, going for value-accretive M&As, establishing an efficient supply chain and synergy with existing businesses



FMCG has reduced ITC's dependence on the tobacco business; today, less than 40 per cent of its revenue comes from tobacco products



A key benefit for ITC's FMCG segment is the forward integration of its agri business, giving it access to inputs like wheat, potatoes and milk

GRAPHICS BY RAHUL SHARMA

NOT FOR A MOMENT DOES SANJIV PURI TAKE HIS EYES OFF YOU. “DO YOU LIKE THE MISHTI DOI?” HE ASKS IN A TONE THAT IS QUIETLY CONFIDENT. ONCE YOU REPLY IN THE AFFIRMATIVE, HE SMILES AND OFFERS YOU SOMETHING MORE TO EAT. IN HIS TASTEFULLY DONE UP OFFICE IN KOLKATA, THE CHAIRMAN & MD OF ITC IS THE QUINTESSENTIAL CURIOUS MIND ON CONSUMER TASTES AND WANTS TO PUT THAT TO SOUND MARKETING USE BY LAUNCHING THE RIGHT PRODUCT.

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QUALITY IS PARAMOUNT and in two decades, the company, once synonymous with cigarettes, has become a large player in India's high-growth fast-moving consumer goods (FMCG) business. Now, it has got to revenues of ₹16,000 crore in FY22 spread across four segments—branded packaged foods, personal care, education and stationery, and matches and *agarbattis*. With a tinge of pride, Puri says the company has created over 25 “mother brands”. He makes it clear that ITC aims to become India's largest FMCG company. Only the recently-listed Adani Wilmar (₹54,386 crore) and Hindustan Unilever (₹52,704 crore) are ahead of it.

Just to go back in time, ITC, about a decade ago, said its vision was to be an FMCG company with a turnover of ₹1 lakh crore by 2030. That is some distance away but in his usual understated manner, Puri says they will get there. Meanwhile, the share of non-cigarette FMCG and agri business combined is now touching 50 per cent of ITC's consolidated revenues, while the share of cigarettes has fallen from 49 per cent in FY18 to 39 per cent in FY22. (See graphic ‘The Big Shift’.) Obvi-

ously, Puri is looking to sustain the growth momentum that took off from nothing since its foray in 2001 to where it is today.

At the core of ITC's FMCG business are its strategic pillars. Over a long meeting, Puri outlines why those make his business model unique (*see interview*). Be it the thrust on insights, innovation and quality or the synergy that exists within businesses, the M&A story or an efficient supply chain, ITC has managed to get to the top position in product categories such as branded *atta* (by creating a new, organised market) and cream biscuits (replacing Britannia), apart from being a serious No. 2 in noodles, *agarbattis* and floor cleaners; the leaders happen to be Maggi (from Nestlé) in noodles, Cycle (from the NR Group) in *agarbattis* and Lizol (from Reckitt Benckiser) in floor cleaners.

The market has taken cognisance of this strategy working for ITC, with the stock gaining 46 per cent over the past one year, when the benchmark S&P BSE Sensex rose 8 per cent. “If you set yourself a vision the way we did through ambitious targets, it forces you to think in a certain manner,” says Hemant